Pine Valley Special Services District ("PVSSD")

Meeting Minutes

Pine Valley Fire Station, 680 East Main Street, Conference Room

Wednesday, May 13, 2026

Board Members:	Bob Dalley, Chairman Emily Neilson, Vice-Chair - Excused Allen Cannon Mark Owens Steve Shakespeare
PVSSD Assistants:	Rick Peetz, Clerk Teri Forbes, Treasurer
Fire Chief:	Robert Hardy
Others:	Claudia Davis Frank Davie Mark Flygare Scott Dunkleman Kendall Sullivan Brad Esposito

1. Welcome – Chairman Bob Dalley.

Chair Bob Dalley called the meeting to order at 6:43 PM. Vice-Chair Emily Neilson was excused.

2. Meeting Minutes.

A. Approval of the April 8, 2026, PVSSSD Meeting Minutes.

Mark Owens moved to APPROVE the minutes of April 8, 2026. Allen Cannon seconded the motion. The motion passed with the unanimous consent of the Board.

3. State Auditor Training Report – Teri and Rick.

Chair Dalley reported that Teri Forbes, Rick Peetz, and Allen Cannon attended the recent State Auditor Training that addressed processes that need to be completed primarily by the clerk. Allen commented that they discussed the process and the fact that they pay attention to what the SSD does and seek to provide consistency.

4. Update on Flooding and Mitigation Efforts - Mark Owens.

Mark reported that the logging work was ongoing. The Upper Recreation Loop is open to the summer homes but remains closed to everyone else. Chief Hardy sent a few members of the department to the area to view the work being done to ensure that it is accessible. He spoke to Joe Rechsteiner, who indicated that Pine Valley Fire Department ("PVFD") members can go there on official business. Mark considered official business to be a callout. Chief Hardy stated that any visit would involve pre-planning for incidents.

Mark reported that dredging in the reservoir basin will begin soon and is being funded by Washington County. The dredged material has been hauled away and is being stockpiled in the boneyard as part of the work taking place on the dam. The US Forest Service is working on Emergency Relief for Federally Owned Roads ("ERFO") for which they received $3.2 million. Restoration work is underway, and seasonal workers have been hired to do trail maintenance and weed abatement. The fishing dock will also be replaced as part of an Eagle Scout project.

Heritage Days is July 25th. Mark reported that the building will be closed throughout the summer, but the property will open to picnickers. The corrals in the equestrian campground are to be replaced with metal rather than wood. The Emergency Watershed Project ("EWP") project was put out to bid last month with a pre-construction meeting scheduled for May 22 at 11:00 a.m. at the Pine Valley Fire Station. Progressive Contracting was identified as the contractor. It was noted that the Notice to Proceed has not yet been issued by the County. Mark indicated that they are holding the riprap sources in Diamond Valley, and it must be produced there. There has been talk about using the area behind the berm coming off of the Forsyth dirt road and staying off of the asphalt. They will take down a section of fence there for use as a storage yard for the riprap.

Chief Hardy asked when work is to begin on the Water and Sediment Control Basin ("WASCOB"). Mark stated that they wanted to start on June 1, but there is not enough riprap. The work is contingent on the availability of materials. There has been some environmental clearance in the pit. He expected work to begin no sooner than mid-June.

5. Fire Department Report – Fire Chief, Robert Hardy.

Chief Hardy reported that there were few transports last month. April was busy with several cardiac events between Pine Valley and Central. Volunteer hours were down slightly, which was partially attributed to Brian and Claudia Davis completing their Advanced EMT trainings. He stated that the current Fire Department group is very dedicated.

Chief Hardy reported that work on the rock in front of the station has been completed. The work was paid for by the Dinner Committee.

Gravel was placed near the CONEX to keep water from being tracked into the station. Gun Wastlund was recognized for his efforts to keep dirt off the asphalt.

Chief Hardy reported that the ambulance was down for a time due to a turbocharger failure. This resulted in exhaust escaping into the cab. The driveshaft for the four-wheel drive was also replaced. Chief Hardy reported that vehicle inspections are performed monthly, which helps staff keep up on needed repairs and maintenance. The repairs were completed, and it runs well. Lettering was also added to the ambulance stating, “Proudly serving the community of Pine Valley”. Brad Esposito was thanked for detailing the ambulance inside and out.

Engine 142 was out for repairs due to a transfer switch that needed to be repaired and the alignment adjusted.

Dixie Power recently awarded a grant to the Fire Department in the amount of $5,000, which was matched by CoBank, which is a supplier. The funds will be used to purchase an extrication combi tool. Rick Peetz was thanked for his influence on the Dixie Power Board. Rob Nodine was working on the applications.

Mark was concerned that if some dirt is not removed around the CONEX, it will not solve the drainage problem.

6. Clerk and Treasurer’s Reports (April) – Rick Peetz and Teri Forbes.

Rick reported that April was a very busy month with 600 fire assessment checks received. An additional $6,000 was received for donations and impact fees. $170,000 was billed for fire assessment fees. Rick stated that the balance in the interest-bearing account is $120,000. The balance in accounts receivable is currently $42,935.

Chair Dalley counseled the Fire Department leadership to have a plan in place for the cash that has been set aside. Chief Hardy stated that there is a need for a new fire truck, as the current one is nearly 20 years old. The replacement cost could be $150,000 to $200,000. Rick stated that currently, $215,000 set aside for capital purchases. Chair Dalley suggested that the capital projects cost sheet be updated to include a plan.

Chief Hardy stated that they will discuss it at the next Officers Meeting and he will report back at the next PVSSD meeting.

Allen Cannon moved to approve the Clerk's Report. Steve Shakespeare seconded the motion. The motion passed with the unanimous consent of the Board.

Teri reported that numerous assessment checks were received and deposited. There have been 16 batches of checks thus far and six Venmo batches. She she reconciled the accounts reported that all was in order.

Allen Cannon moved to approve the Treasurer's Report. Mark Owens seconded the motion. The motion passed with the unanimous consent of the Board.

7. Update on Community Center Meeting with County – Allen Cannon.

Allen reported that he and Mark provided a packet of information to Assistant County Attorney, Victoria Hales, a few weeks earlier. Mark stated that Ms. Hales followed up with a County Commissioner, but to date, nothing has been done. The two options the County is considering include small tract acquisition or a land swap. The small tracts acquisition requires environmental review and an appraisal. The County has the funds to do both. It was noted that the land would have to be purchased at fair market value. The County has agreed to help with community fundraisers and donations.

Allen stated that there was a discussion with the County about 1½ years ago about a potential swap or land purchase. Several sections of land were earmarked by the US Forest Service. The County was supposed to have followed up, but they ultimately determined that they would like to acquire property once the funding is in place. As recently as last month, the US Forest Service did not want to pursue small tract acquisition. Allen was informed by the Five Counties Association of Governments that money could be available through grants to fund all or part of the land purchase and the building; however, the state grant for the Community Center would require it to be available on a request and schedule basis for the first five years. He expected the cost to be $2 to $4 million.

Chair Dalley felt that the needed funds could only be obtained through grants. Allen stated that the next step is for the County to send a letter to the US Forest Service who can perform the appraisal. The matter could be added to a future agenda when there is something new to report.

8. Drone Insurance and Fire Station Lighting Funding Request – Brad Esposito.

Brad reported that the funding request for lighting was approved, and they were ordered. He clarified that the purchase is for lower-intensity lighting. $1,200 was allocated toward the cost, with the actual cost being less than half.

Brad reported that the drone has arrived. It is a detailed process to register it through the Federal Aviation Administration ("FAA"), with another 30 days expected to complete the process. Rick stated that the insurance will not be effective until the registration process is complete. He noted that all of the District's policies will renew on July 1. The estimated cost was $200 per month. This cost was not budgeted, but Rick felt that it could be absorbed elsewhere. Brad noted that they were able to get a significant discount on the drone; however, the actual replacement cost would be $24,000.

The insurance provider for the PVSSD is the Utah Local Governments Trust ("ULGT") which is the State of Utah's approved insurance agency. Rick clarified that the ULGT's auditing team conducts an inventory of the district's assets every five years. Mark questioned whether the department should do a separate comprehensive inventory. Chief Hardy offered to reach out to ULGT and see what they require in the event of a loss.

Chair Dalley commented on the drone's potential to assist in search and rescue. He noted that there are great applications with the infrared capability when performing searches at night. It was reported that Brad is a Certified Drone Pilot.

9. Transfer Proceeds in the Amount of $3,611.17 from Account 6138 from the Fire Recovery Account to the Local District for Risk Mitigation, Tree Plantings, and Dam Restoration.

Chair Dalley polled the PVLAD Board, who were not interested in acquiring the funds. Another option was to donate the funds to the Pine Valley Dinner Committee for risk mitigation and tree planting. It was suggested that the matter be included on next month's agenda for discussion.

Mark reported that the Dinner Committee met the previous night, and the top project priority was the planting of large five-foot trees for $145 each. The Community Dinner is scheduled for August 15 at the Pine Valley Chapel.

10. Decision on How to Allocate Funds to be Received from Utah Tech Fundraiser.

Chief Hardy reported that immediately after the Forsyth Fire, an artist reached out to him regarding an art show she will be participating in this year. 25% of the proceeds will be donated to the Pine Valley community for fire recovery. The cash received will be received through Venmo and can ultimately be used to purchase additional trees. Chief Hardy spoke to the US Forest Service, who indicated that the trees are planted in a 13' x 13' grid with 250 trees planted per acre. The Board supported the receipt of the funds.

11. County Audit Final Report – Chair Dalley.

A. Review and Proposed Revision of the 2025 Fraud and Risk Assessment.

Chair Dalley reported that the County Audit is complete. A major statement at the end of the Audit Report indicated that no fraud, mishandling, or misuse was found. Chair Dalley proposed that he and Rick sign the revised report and deduct 40 points for changing the answer to question number 8 from "yes" to "no".

Mark Owens moved to FILE the Revised Audit Report with 315 points revised from 355 from the original November 1 submission. Allen Cannon seconded the motion. The motion passed with the unanimous consent of the Board.

B. Discussion of Possible Formal Internal Audit Function.

C. Discussion of Possible Internal Audit Committee.

Agenda items 11B and C were discussed together.

Chair Dalley referenced two Fraud Risk Assessment Reports, with the first having been signed by Mary Esther Putnam. The second was blank and unsigned. Item 8 consisted of the question, "Does the entity have a formal internal audit committee?" After some review, it was determined that the District does not have a Formal Audit Committee and the answer should have been "no" rather than "yes". A Formal Internal Audit Committee could be formed, but Chair Daley felt it would be another meeting where minutes would have to be kept and agendas posted. Based on the size of the PVSSD, he did not consider a committee to be necessary. Steve remarked that a formal committee is not needed for entities with annual revenues of less than $350,000. A Certified Public Accountant ("CPA") must also serve on the committee. The answer to number 8 could remain "yes" if a committee were formed. Otherwise, it needs to be changed to "no".

Steve explained that by answering “no”, the score would drop by 40 points to 315, with the valued risk level of Low. He did not feel that the points reduction would be alarming to the State. Chair Dalley considered it a technical issue. The Board supported changing the answer to question number 8 to “no” and accepting the points reduction rather than forming a Formal Internal Audit Committee.

D. Link to the County’s Ombudsman/Fraud Hotline on the PVSSD Website.

Chair Dalley addressed three items from the audit that were not findings but identified as best practices by County Auditor, Susan Lewis. The first was to add a link on the PVSSD website to the County's Fraud Hotline. Chief Hardy stated that Joseph Hunt could accomplish that. Rick noted that posting the link will result in an additional 20 points on the Fraud Risk Assessment Report next year.

E. Consider Use of a Purchase Card.

Ms. Lewis also recommended reducing the number of checks written to individuals in the Fire Department. In her opinion, it could look like compensation. Rick reported that 186 checks were written in 2025; 12 of which were payroll. In addition, 20 checks are written at the end of each year for Fire Department payroll. In terms of reimbursements, he issued 64 checks to fire personnel. Of those, only five individuals received more than four checks.

Rick spoke to Ms. Lewis as well as representatives from the State and the County who recommended that the PVSSD use US Bank, which will establish the District as a state entity and establish a credit limit. The District will receive 2% back on purchases of over $5,000 per quarter. The transactions will also be linked to QuickBooks online.

Chief Hardy was ambivalent and did not object if a P-Card is determined to be less work. Rick commented that with a credit card, the statement will include details from each purchase that can be passed on to the Board.

Prior to tonight’s meeting, Chair Dalley asked Emily Neilson for her feedback. She supported having one card to be kept in the possession of the Fire Chief, who is the Purchasing Agent. She was not opposed to more cards being issued, however, if the majority if the Board supported that.

Chair Dalley had mixed feelings but stated that having a credit card has a better appearance while recognizing there will still be control issues. Rick pointed out that credit limits can be established for each user. Chair Dalley

stated that there must be after-the-fact controls in place that include documentation that will be available to Rick. A report will be issued that can be reviewed by Mark and Emily who are signers on the checking account.

Steve suggested that there be approvals for all who are issued a P-Card with the transactions signed off on by Mark and Emily. Rick preferred issuing checks if the process becomes overly complicated.

It was proposed that P-Cards be pursued for Chief Hardy, Brad Esposito, Rob Nodine, and Rick Peetz. Chair Dalley asked that Rick and Chief Hardy establish an after-the-fact approval for Mark and Emily to review monthly.

Scott Dunkleman suggested an option to reduce the number of checks written by utilizing a petty cash system. That seemed problematic to the Board.

Chair Dalley stated that Ms. Lewis suggested P-Cards to improve appearance and increase efficiency. The matter was to be included on the next month's agenda for approval.

F. Review and Approval of Revised Report.

Steve suggested that the Revised Report be posted on the website for public view.

Mark referenced the Conclusions set forth on page 9 and stated that there were no findings of wrongdoing and no instances of fraud or waste.

Allen Cannon moved to APPROVE and POST the Final Audit Report from Washington County for the Pine Valley Special Service District. Steve Shakespeare seconded the motion. The motion passed with the unanimous consent of the Board.

12. Citizen Requests—Any person wishing to bring an item not otherwise on the agenda should raise their hand and give their name for the record to the attention of the Board Chairman, Bob Dalley, and the additional members of the Board. The Chair or Board will take no action at this time. All items will be referred to the Board and/or Fire Chief for follow-up and report.

Claudia Davis suggested that, where possible, purchases be consolidated. She also asked what the procedure will be for refueling vehicles if no one is on board with a card and it is necessary to refuel. Chair Dalley stated that in that instance, a reimbursement check can be issued. Chief Hardy stated that gas for the ambulance can be purchased on the Wex card through Enterprise. For other vehicles, however, some kind of reimbursement policy will need to be

put in place. Chair Dalley stated that checks can always be written, as needed. The intent is to reduce the number of checks written, but not eliminate them altogether. Claudia stated that the Northwest District does something similar and has cards issued for the individual vehicles that can be used to purchase gas.

Scott Dunkleman was interested in obtaining medium-sized boulders. Brad Esposito offered to talk to him after the meeting.

Chief Hardy stated that the Fire Department has begun conducting fire-wise consultations with residents. Six have been completed so far, which were positively received.

Mark Owens asked about the budget. Rick stated that $162,678 is available to spend, with $28,929 having been expended so far this year, or about 17%. Mark suggested potentially reducing the assessment. Chair Dalley stressed the importance of having a plan in place. Steve stated that there is a plan, which has been documented for the last 10 years. Chair Dalley agreed and stated that there is a need for the cash. Once a specific plan is in place, the Board can review it. Chief Hardy stated that the budget ebbs and flows, and funds need to be available in the event of a breakdown or other need. They also tend to spend more money in the second half of the year. They look at what they need to buy rather than simply ways to spend the budget. Mark suggested that some of the funds be used for the Community Center. Rick explained that they have considered that option, but the funds must be used within the Fire Department.

Chair Dalley reported that the first Monday in May of each year, the Pine Valley Irrigation District and Cemetery hold their annual meeting at the Fire Station. It is not noticed, but is a public meeting. He attended this year and reported that they $600,000 has been appropriated for the well near the spring. They plan to borrow money to finish it. An application has been submitted to the state to raise the rates, which has been approved on an interim basis. The final rates will take effect in October and are substantially higher. The total cost of the well is $1.2 million, with the intent being to borrow half that amount. The water flows in the springs are remarkably good and flowing extremely well. No restrictions are contemplated. The biggest problem is always storage, which is very limited. Steve reported that more storage tanks are envisioned in the future. Chair Dalley commented that customers will soon receive a letter informing them of the new rates. It was noted that rates have not increased in 16 years.

Allen was concerned that once the rate increases, it will never come down. Chair Dalley explained that there are fixed costs regardless of the number of customers. The fixed cost that will be assessed per month on the schedule

distributed is currently $20.75 per month. That cost is to be increased to $49.50. Brad stated that Pine Valley's water rates are the highest in the state.

Chair Dalley reported that there are numerous cemetery plots available with room to expand.

13. Adjournment.

Mark Owens moved to ADJOURN. The motion was seconded by Steve Shakespeare. The motion passed with the unanimous consent of the Board.

The meeting adjourned at 8:15 PM.

The next PVSSD meeting will be on Wednesday, June 10, 2026.